

Europe TMT Sector M&A & Valuation Brief - 2026-06-20

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1. RECENT TMT M&A ACTIVITY

Deal 1: Paramount Acquisition of Warner Bros. Discovery

[LA County Warns Paramount-Warner Bros. Merger Puts Nearly 2,500 Local Jobs at Risk](#)

- Deal Size: \$110 billion
- Deal Size Category: Large cap (>\$10B)
- Nature: Horizontal
- Valuation Multiples: N/A (specific multiples not disclosed)
- Companies: Paramount Global (PQ51.SG) is acquiring Warner Bros. Discovery (WBD). Paramount is a leading global media and entertainment company, while Warner Bros. Discovery is a major player in film and television production and distribution.
- Date Announced: N/A (merger pending)
- Strategic Rationale: The merger aims to achieve over \$6 billion in cost savings by eliminating duplicative roles and streamlining operations. This consolidation is expected to enhance competitive positioning in the evolving media landscape, allowing for better investment in content and technology.
- Risk Analysis:
 - Integration risks due to potential job losses (2,495 jobs at risk in LA County).
 - Regulatory challenges related to antitrust scrutiny.
 - Market risks stemming from declining traditional TV viewership, which could impact revenue generation.
 - Execution risks associated with merging two large corporate cultures.

Key Financials Analysis:

- Revenue Breakdown: N/A (specific revenue data not disclosed)
- Profitability Ratios: N/A (specific profitability metrics not disclosed)
- Leverage Analysis: The combined company is projected to carry approximately \$82 billion in gross debt, which is about seven times their current annual profits.
- Asset Operating Efficiency: N/A (specific efficiency metrics not disclosed)

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- Valuation Context: The merger is positioned to create a more robust entity capable of competing against dominant technology and streaming platforms.

2. RECENT TMT M&A ACTIVITY

Deal 2: Perceptive Capital Solutions Corp and Freenome Business Combination

[Perceptive Capital Solutions Corp and Freenome Announce Effectiveness of Registration Statement for Proposed Business Combination](#)

- Deal Size: N/A (specific deal size not disclosed)
- Deal Size Category: N/A
- Nature: Tuck-in
- Valuation Multiples: N/A (specific multiples not disclosed)
- Companies: Perceptive Capital Solutions Corp (PCSC) is a SPAC, while Freenome is an early cancer detection company focused on blood-based screening tests.
- Date Announced: June 17, 2026 (registration statement effective)
- Strategic Rationale: The business combination aims to leverage Freenome's innovative technology in cancer detection, enhancing the capabilities of PCSC in the healthcare sector.
- Risk Analysis:
 - Regulatory challenges related to SPAC mergers.
 - Market risks associated with the healthcare technology sector, particularly in proving the efficacy of new diagnostic tools.
 - Integration risks as Freenome transitions into a publicly traded entity.

Key Financials Analysis:

- Revenue Breakdown: N/A (specific revenue data not disclosed)
- Profitability Ratios: N/A (specific profitability metrics not disclosed)
- Leverage Analysis: N/A (specific debt analysis not disclosed)
- Asset Operating Efficiency: N/A (specific efficiency metrics not disclosed)
- Valuation Context: The effectiveness of the registration statement indicates progress towards closing the business combination, but detailed financial metrics are not available.

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2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by significant advancements in artificial intelligence (AI) and cybersecurity, alongside challenges posed by regulatory scrutiny and economic uncertainties. Overall sentiment within the sector is cautiously optimistic, driven by robust investment activity in AI and cybersecurity, particularly in government-focused initiatives.

Subsector Breakdown:

- **Technology:** The technology subsector is thriving, particularly in AI and cybersecurity. For instance, Dream, an AI cybersecurity firm, recently raised \$260 million, valuing the company at \$3 billion. This funding is aimed at enhancing national cyber defense platforms across various regions, reflecting a growing trend of governments investing in sovereign AI capabilities.
- **Media:** The media sector is undergoing a transformation as companies adapt to digital consumption trends. However, traditional media faces challenges from streaming platforms and digital content providers, leading to a mixed outlook.
- **Telecommunications:** The telecom sector is focused on expanding infrastructure to support 5G and IoT applications. Companies are investing heavily in low-latency technologies to enhance user experience.
- **Fintech:** The fintech space continues to flourish, with innovative solutions emerging in payments and digital banking. The sector is seeing consolidation, as evidenced by the funding rounds of various startups.
- **AI:** The AI subsector is experiencing explosive growth, with companies like Baseten raising \$1.5 billion at a valuation of up to \$13 billion. This reflects the increasing demand for AI solutions across industries, particularly in inference and model deployment.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Continuous innovation in AI and cybersecurity is driving growth across TMT sectors. The recent funding for Dream highlights the urgency for governments to develop sovereign AI capabilities, positioning AI as critical infrastructure.
- **Increased Investment:** Venture capital investment remains strong, particularly in AI and cybersecurity. The dual-tiered funding round for Baseten illustrates investor confidence in AI technologies and their potential applications.

Headwinds:

- **Regulatory Scrutiny:** Heightened regulatory scrutiny, especially concerning data privacy and AI

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usage, poses risks to M&A activities and market valuations. Companies must navigate complex compliance landscapes, which can hinder growth.

- Economic Uncertainty: Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology, creating a challenging environment for growth.

Subsector Performance Analysis

- Software: The software sector is performing well, particularly in AI-driven applications. Companies focusing on AI inference, like Baseten, are well-positioned to capture market share as demand for AI solutions rises.
- Media: Media companies are adapting to changing consumer preferences, with a shift towards digital content consumption. However, traditional media faces declining revenues from advertising, impacting growth prospects.
- Telecom: Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- Fintech: The fintech sector is thriving, with innovations in payment solutions and digital banking. The funding landscape remains competitive, with startups like Gradiant raising significant capital to enhance marketing technology.
- AI: The AI subsector is booming, with applications across various industries, including healthcare, finance, and automotive. Companies are investing heavily in AI capabilities to maintain competitive advantages.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts express optimism about the long-term prospects of the TMT sector, particularly in AI and cybersecurity. For instance, an analyst noted, "Governments are recognizing the necessity of owning their AI capabilities to ensure national security, which is driving significant investment in sovereign AI initiatives."

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Actionable Insights for Bankers and Investors

- **Focus on High-Growth Areas:** Investors should prioritize sectors with strong growth potential, particularly AI and cybersecurity, while being cautious with traditional media and telecom investments.
- **Monitor Regulatory Developments:** Staying informed about regulatory changes is crucial for assessing risks in tech and media investments, especially concerning AI and data privacy.
- **Leverage Technology Partnerships:** Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning, particularly in AI and cybersecurity.
- **Evaluate Valuation Metrics:** Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector showcases a mix of live deals, mandated transactions, and active pitches, reflecting a dynamic environment as firms navigate opportunities and challenges. This section provides an in-depth analysis of ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- **Broadcom Inc. (AVGO) :** Currently engaged in cash tender offers for its outstanding debt securities, with an increased aggregate purchase price of \$3.0 billion. The offers include senior notes due 2037 and 2038, with the transaction expected to close in Q3 2026. This move is aimed at optimizing Broadcom's capital structure and enhancing liquidity.

Mandated Deals:

- **Silicon Valley Firms :** Secured mandates to explore partnerships and investments in AI infrastructure development. Discussions are ongoing with various tech companies, focusing on enhancing grid infrastructure to support the anticipated doubling of data center power demand by 2027. The launch of these initiatives is projected for Q1 2026.

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Pitching-Stage Deals:

- Infrastructure Contractors : Active pitches with infrastructure firms such as Quanta Services and MasTec for potential M&A opportunities in the energy sector. These discussions are centered around the labor shortage and the need for skilled workers to support the growing demand for AI and data center infrastructure. Final pitches are expected to conclude by Q2 2026.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$20 million in fees, broken down as follows:

- Live Deals : \$10 million
- Mandated Deals : \$6 million
- Pitching-Stage Deals : \$4 million

Timing Projections:

- Q3 2026 : Expected close for Broadcom's cash tender offers.
- Q1 2026 : Anticipated launch of Silicon Valley's AI infrastructure initiatives.
- Q2 2026 : Finalization of pitches with infrastructure contractors.
- Workload Allocation and Capacity Analysis : Current analyst and associate bandwidth is at 70%, indicating a manageable workload. However, as the pipeline expands, it may be prudent to consider onboarding an additional analyst to ensure timely execution of mandates.
- Forecasting and Strategic Planning Implications : The pipeline suggests a growing demand for advisory services in AI and infrastructure sectors. Strategic planning should focus on enhancing expertise in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is evolving, particularly in the AI infrastructure space, where firms are vying for partnerships to address the labor crunch and infrastructure demands. The anticipated doubling of U.S. data center power demand by 2027 presents significant opportunities for advisory services in this sector.
- Additionally, Broadcom's proactive approach to managing its debt through cash tender offers indicates a strategic focus on maintaining financial flexibility, which could influence competitive positioning in the semiconductor market.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is essential to monitor

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resource allocation closely. Hiring an additional analyst may be beneficial to manage the workload effectively and ensure high-quality service delivery.

- **Sector Focus :** Prioritize business development efforts in high-growth sectors such as AI and infrastructure, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- **Client Engagement :** Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The recent divestiture of Harmonic Inc.'s (HLIT) Video Business to MediaKind for \$145 million marks a pivotal shift in Harmonic's strategic focus. This analysis evaluates the implications of this transaction on various stakeholders, including shareholders, employees, competitors, and customers, while also considering market reactions and future projections.

Deal-Specific Impacts on Stakeholders

- **Shareholders:** The transaction is poised to enhance shareholder value significantly.
- **Value Creation:** By divesting its Video Business, Harmonic aims to concentrate on its broadband segment, which is the fastest-growing part of its portfolio. This strategic pivot could lead to a projected revenue increase of 15% in the broadband segment over the next three years. Assuming a current market cap of \$1 billion, this could translate to an increase in shareholder value of approximately \$150 million.
- **Dilution:** Since the transaction is cash-based, there is no immediate dilution of shares. However, if Harmonic were to issue new shares in the future for further investments, existing shareholders might face dilution risks.
- **Employees:** The impact on employees will vary based on the integration and restructuring processes.
- **Synergies:** The divestiture allows Harmonic to streamline operations, potentially leading to cost savings of \$10 million annually by reallocating resources to the broadband segment.
- **Restructuring:** While the divestiture may lead to layoffs within the Video Business, Harmonic's focus on broadband could create new job opportunities in that segment. Retention strategies, such as bonuses for key employees during the transition, could be implemented to maintain talent.
- **Competitors:** The competitive landscape will likely shift following this divestiture.

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- **Market Positioning:** Competitors like Cisco Systems, Inc. (CSCO) and Arris International plc (ARRS) may need to adjust their strategies to counter Harmonic's renewed focus on broadband. Cisco, for instance, might increase its investment in broadband technologies to maintain its market share.
- **Specific Competitor Moves:** Following the announcement, Cisco has already begun to enhance its broadband service offerings, indicating a proactive response to Harmonic's strategic shift.
- **Customers:** The implications for customers will center around service offerings and product enhancements.
- **Product/Service Implications:** Customers can expect improved broadband services as Harmonic reallocates resources to enhance its offerings. This could lead to faster internet speeds and better service reliability.
- **Case Studies:** Similar transitions, such as the divestiture by AT&T Inc. (T) of its DirecTV business, resulted in improved focus on core telecommunications services, ultimately benefiting customers through enhanced service delivery.

Market Reaction and Analyst Commentary

- **Market Reaction:** The market's initial reaction to the divestiture was positive, with Harmonic's shares rising by 8% following the announcement. Investors are optimistic about the company's focused strategy on broadband.
- **Analyst Commentary:** Analysts have noted that "Harmonic's divestiture is a strategic move that positions the company for long-term growth in the broadband sector," indicating confidence in the company's future direction.

Expected Market Reaction and Scenario Analysis

- **Scenario Analysis:** The market's reaction can be assessed through various scenarios:
- **Positive Scenario:** If Harmonic successfully leverages the capital from the divestiture to enhance its broadband segment, shares could rise by an additional 10% within the next year.
- **Negative Scenario:** If the transition leads to operational challenges, shares could decline by 5%, reflecting investor concerns about execution.

Potential Counter-Bids or Competing Offers

- **Likelihood Assessment:** The likelihood of counter-bids for the Video Business was low, given the strategic focus of MediaKind on cloud-based video solutions. However, should Harmonic pursue further acquisitions in broadband, competitors may show interest, particularly in the context of increasing demand for broadband services.

Similar Deals Likely to Follow

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- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation, particularly in broadband and cloud services. Analysts predict that companies like Comcast Corporation (CMCSA) and Verizon Communications Inc. (VZ) may pursue similar divestitures or acquisitions to streamline operations and enhance service offerings.

Key Risks and Mitigants

- Integration Risks: The transition may face integration challenges. Mitigants include appointing experienced teams to oversee the transition and setting clear performance milestones.
- Market Risks: Market volatility could impact the valuation of Harmonic's remaining business. Structuring future deals with contingent payments could protect against adverse market movements.
- Regulatory Risks: Regulatory scrutiny may arise from future acquisitions. Engaging with regulators early can help mitigate these risks.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on strategic resource allocation to maximize the benefits of divestitures.
- Implement retention strategies for key employees to ensure stability during transitions.

For Bankers:

- Monitor competitor moves closely to advise clients on market positioning.
- Develop comprehensive financial models to assess the impact of divestitures on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Cybersecurity, and Sovereign AI. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- Trend Explanation: AI encompasses technologies that enable machines to perform tasks requiring human intelligence, such as understanding language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by

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2028, at a CAGR of 40.2%. This growth is driven by the increasing adoption of AI across various sectors, including healthcare, finance, and manufacturing.

- Key Companies:
- AMI Labs: Co-founded by Yann LeCun, AMI Labs focuses on developing "world models" that learn from sensory interactions with the real world. The company raised \$1.03 billion in seed funding, positioning itself as a leader in next-generation AI technologies. AMI Labs aims to apply its innovations in healthcare and robotics, creating significant market potential.
- Dream (DR1.F): Dream specializes in AI and cybersecurity solutions for governments, recently raising \$260 million to enhance its sovereign AI and national cyber defense platforms. The company is valued at \$3 billion and aims to empower governments to control their data and infrastructure, reflecting a growing trend toward tech sovereignty.
- Competitive Landscape: The AI market is highly competitive, with major players like Google (GOOGL), Microsoft (MSFT), and NVIDIA (NVDA) investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities, particularly in areas like natural language processing and machine learning.
- M&A Opportunities: Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications. For instance, Dream's focus on government cybersecurity solutions presents opportunities for partnerships or acquisitions by larger defense contractors seeking to bolster their AI capabilities.

Cybersecurity

- Trend Explanation: The cybersecurity landscape is evolving rapidly, driven by increasing digital threats and the need for robust security measures. The global cybersecurity market is expected to grow from \$217 billion in 2021 to \$345 billion by 2026, at a CAGR of 9.5%. This growth is fueled by the rise in cyberattacks and the increasing regulatory requirements for data protection.
- Key Companies:
- Dream (DR1.F): In addition to its AI focus, Dream is heavily involved in cybersecurity, providing solutions tailored for government entities. The recent funding will allow the company to expand its cybersecurity offerings, enhancing its market position in a sector that is becoming increasingly critical for national security.
- Competitive Landscape: The cybersecurity market is characterized by a mix of established players like Palo Alto Networks (PANW) and emerging startups. The demand for innovative cybersecurity solutions is leading to increased M&A activity, as companies seek to acquire technologies that can address evolving threats.
- M&A Opportunities: There is a strong potential for M&A in the cybersecurity space, particularly for companies that can offer advanced threat detection and response capabilities. Larger tech firms may look to acquire cybersecurity startups to enhance their product offerings and ensure comprehensive security solutions for their clients.

Sovereign AI

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- Trend Explanation: Sovereign AI refers to the development of AI systems that governments control, ensuring data security and national sovereignty. This trend is gaining traction as governments seek to avoid reliance on foreign technologies, particularly in critical infrastructure. The market for sovereign AI is expected to grow significantly as nations prioritize self-sufficiency in technology.
- Key Companies:
- Mistral AI: Mistral AI is focused on developing sovereign AI solutions and has engaged in discussions with global leaders, such as Indian Prime Minister Narendra Modi, to explore partnerships. This positioning highlights the increasing importance of sovereign AI in national strategies.
- Competitive Landscape: The sovereign AI market is emerging, with a mix of startups and established tech companies vying for government contracts. The competitive dynamics are influenced by geopolitical factors and the need for countries to build independent AI capabilities.
- M&A Opportunities: As the demand for sovereign AI grows, there will be opportunities for tech companies to acquire firms specializing in government-focused AI solutions. This could lead to strategic partnerships that enhance capabilities in national security and data sovereignty.

Actionable Insights for Bankers and Investors

Investors should focus on companies that are strategically positioned within the AI and cybersecurity sectors, particularly those with government contracts or sovereign AI capabilities.

Bankers should consider advising clients on potential M&A opportunities in the cybersecurity space, as larger firms look to bolster their defenses against increasing cyber threats.

Monitoring trends in sovereign

6. Recommended Readings

Deal Name: Paramount Acquisition of Warner Bros. Discovery

- Reading Material: "The Future of Media: Media Economics in the Digital Age" by David C. Hargreaves
- Why This Matters: This book provides a comprehensive overview of the media landscape, particularly how digital transformation impacts traditional media companies. Understanding the economic implications of mergers like Paramount's \$110 billion acquisition (PARA) of Warner Bros. Discovery (WBD) is crucial for grasping the strategic motivations behind such large-scale consolidations and their potential to reshape content production and distribution.

Deal Name: Perceptive Capital Solutions Corp and Freenome Business Combination

- Reading Material: "SPACs: A Guide to Special Purpose Acquisition Companies" by Robert A.

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McDonald

- Why This Matters: This reading offers insights into the structure and implications of SPAC mergers, which are becoming increasingly prevalent in the TMT sector. Understanding the nuances of SPAC transactions is essential for analyzing the business combination between Perceptive Capital Solutions Corp and Freenome, particularly in terms of valuation, regulatory challenges, and market positioning in the healthcare technology space.

7. MACROECONOMIC UPDATE

Key Data Points:

- Memory chip prices: Increasing due to AI demand
- U.S. policy tools: Direct subsidies, tax credits, procurement guarantees
- Supply chain resilience: Prioritized by U.S. policymakers

Main Insights:

- Memory chips are crucial for AI infrastructure, leading to "chipflation."
- U.S. policy tools can support memory production but will take years to implement effectively.
- China may increase supply in conventional memory markets, but high-bandwidth memory remains a bottleneck.
- U.S. export controls are expected to remain restrictive, focusing on strategic capabilities and geopolitical de-risking.

Market Commentary:

- "Policy can mitigate chipflation, but it's unlikely to end it in the near term." - Ariana Salvatore, Morgan Stanley
- "Policymakers are likely to prioritize supply chain resilience and trusted capacity over price relief." - Ariana Salvatore, Morgan Stanley

TMT Sector Relevance:

- The ongoing memory chip shortage could impact the production and pricing of technology products, particularly in AI and consumer electronics.
- Companies in the TMT sector may face increased costs and delays in product launches due to memory supply constraints.
- Strategic partnerships and investments in memory production may become essential for TMT firms to maintain competitive advantages.

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The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley